

DEPARTMENT OF THE NAVY
NAVAL FACILITIES ENGINEERING AND EXPEDITIONARY WARFARE CENTER
1000 23RD AVENUE
PORT HUENEME CA 93043-4301



**JUSTIFICATION AND APPROVAL
FOR USE OF OTHER THAN FULL AND OPEN COMPETITION**

1. Contracting Activity.

The contracting activity is Naval Facilities Engineering and Expeditionary Warfare Center (NAVFAC EXWC) Port Hueneme, CA.

2. Description of Action Being Approved.

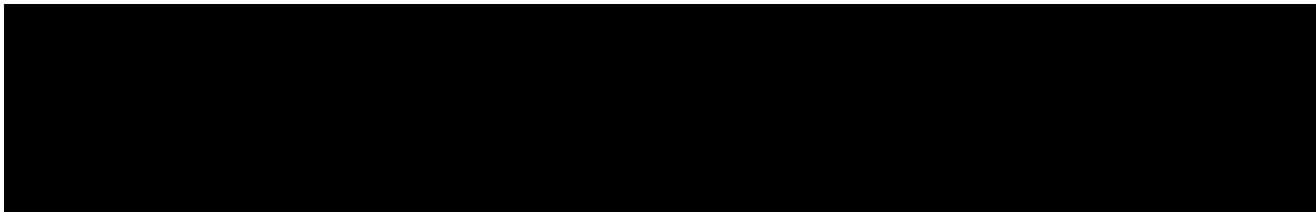
Request authority to procure a follow-on contract on a sole source basis to Itron, Inc. at 2111 N. Molter Rd. Liberty Lake, WA 99019-9469, for software licensing under the statutory authority permitting an exception fair opportunity in 10 U.S.C. 3204(a)(1) as implemented by FAR 6.302-1 to support the Department of the Navy's (DoN's) Commercial Off-The-Shelf (COTS) Centralized and Integrated Reporting for the Comprehensive Utilities Information Tracking System (CIRCUITS).

3. Description of Supplies/Services.

The requirement provides licensed software that includes new versions and revisions for CIRCUITS. DoN requires that all licenses be registered with the Department of Defense Information Technology Portfolio Repository-DoN (DITPR-DoN) before it can be used. The previous contract N3943020D2213, awarded to Itron for CIRCUITS, incorporated the Maintenance Services Agreement to meet the requirements of ongoing license and maintenance support of the DoN's currently installed software.

This requirement will also provide support and maintenance, including immediate access to upgrades, updates, hot fixes, etc., as part of the maintenance agreement.

- a. The proposed follow-on contract is to cover FY25 through FY30 maintenance.
- b. The government estimate for this extension includes a total of five (5) years as described below.



4. Statutory Authority Permitting Other Than Full and Open Competition.

The statutory authority for the use of this sole source action is 10 USC §2304 (c)(1) as implemented by FAR subpart 6.302 (10 U.S.C. § 3406(c)(5)) – Other than Full and Open Competition. Only one responsible source and no other supplies or services will satisfy the Agency requirements described above.

5. Rationale Justifying Use of Cited Statutory Authority.

Itron is the only vendor capable of providing the necessary software maintenance and support for CIRCUITS as Itron maintains proprietary ownership of the source code.

Without the continuation of the software maintenance, mission will be directly impacted as all support will cease with no access to technical support services (help desk), software releases or repair (RMA Services for any equipment) on the following products:

1. FCS Handheld Meter Reading Software
2. Itron Mobile Application
3. Itron Mobile Radio
4. Mobile Collector
5. Fixed Network Software
6. CCU and Repeater Hardware

There are approximately 13K meters across the Facility Engineering Commands (FECs) providing data every 15 minutes to the Meter Data Management (MDM) module of CIRCUITS, which utilizes Itron software for import.

The CIRCUITS Authority to Operate (ATO) is critical for ensuring that our system remains compliant and operational. With the ATO set to expire on 3/31/25, it is imperative that the Itron contract be in place to successfully renew the ATO and ensure the continued operation of the CIRCUITS system without disruption. CIRCUITS is an audit-relevant system, and Ernst & Young has proactively begun monitoring the ATO statuses throughout the year. This proactive monitoring has prompted the DON CIO to take more immediate action in addressing any ATO gaps. Ensuring the Itron contract is in place will help mitigate any potential audit concerns and prevent delays in the approval process.

6. Description of Efforts Made to Solicit Offers from as Many Offerors as Practicable.

In accordance with the Federal Acquisition Regulations (FAR) Part 10.001 Policy and FAR Part 10.002 Procedures, market research was conducted to determine if sources capable of satisfying the agency's requirements exist for the procurement of Itron software and hardware maintenance support. The previous contract was awarded under an approved Justification and Approval (J&A) for other than Full and Open Competition) under FAR 6.302-1. Market Research was conducted by NITC technical members with guidance from EXWC Acquisition Department on whether the commercial service is available from DoD inventory. In accordance with DFARS PGI 208-7403, a search on the ESI website indicated that the requirement was not available from the DoD inventory. A search was performed under the Services category of the

GSA Advantage website returned 0 results for vendors supporting Itron software and hardware for maintenance support. The results of the market research indicated that there are no authorized resellers or small businesses that can provide the software and service. However, market research will be conducted in the future to consider other capable sources that can satisfy this requirement.

7. Determination of Fair and Reasonable Cost.

The Contracting Officer has determined the anticipated cost to the Government of the supplies/services will be fair and reasonable based on recent, previously awarded contract prices. Prior to award, the Contracting Officer will conduct a price analysis in order to determine that the price is fair and reasonable.

8. Actions to Remove Barriers to Future Competition.

As an alternate to Itron CIRCUITS, NAVFAC is considering utilizing OSIsoft Software to replicate the functionality of CIRCUITS. However, the process may take several years to work through the conceptual phase to testing. There will be an opportunity to consider other capable sources that can satisfy this requirement competitively through market research after award. In the meantime for continued services, Itron is the only source able to meet the immediate needs described herein with current CIRCUIT hardware and software support.

CERTIFICATION AND APPROVAL

